



Summary of Traction

Original book by Gino Wickman

Does your business feel stuck no matter how much effort and time you put into it? In *Traction*, Gino Wickman argues that many businesses hit this growth ceiling because they lack clear systems and structure. To break through this stagnation, you must turn your business into a self-sustaining organization. Wickman provides a system for doing so, helping you eliminate common frustrations so that your business can run seamlessly without your constant oversight and grow at a faster rate than you thought possible.

In this guide, we'll explore the six steps of Wickman's system for building a better-functioning business, discussing how to establish a clear vision, organize your team effectively, track essential metrics, solve problems systematically, document your processes, and execute your vision by setting quarterly priorities. We'll also supplement Wickman's advice with insights from other business experts and provide additional tips for growing your business.

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1-Page Summary

Does your business feel stuck no matter how much effort and time you put into it? In *Traction* (2007), Gino Wickman argues that many businesses hit a ceiling—where hard work and determination are no longer enough for them to survive and grow—because they lack clear systems and structure. To break through this stagnation, **you must turn your business into a self-sustaining organization**. Wickman provides a system for doing so, helping you eliminate common frustrations so that your business can run seamlessly without your constant oversight and grow at a faster rate than you thought possible.

Wickman is an entrepreneur, business coach, and creator of the Entrepreneurial Operating System (EOS), which has been adopted by over 290,000 companies worldwide. In 2008, Wickman co-founded [EOS Worldwide](#), providing training and resources to help business owners implement his organizational system. In addition to *Traction*, Wickman has written or co-written other books on business leadership and entrepreneurship, including *Rocket Fuel*, *Get a Grip*, and *Entrepreneurial Leap*.

In this guide, we'll explore the six steps of Wickman's EOS system for building a better-functioning business, discussing how to establish a clear vision, organize your team effectively, track essential metrics, solve problems systematically, document your processes, and execute your vision by setting quarterly priorities. We'll also supplement Wickman's advice with insights from other business experts and provide additional tips for growing your business.

Why Businesses Get Stuck

Before we discuss Wickman's growth strategies, you first must understand the common challenges that hold businesses back:

- **Loss of control:** You work long hours, yet still struggle to keep up with everything.
- **Personnel problems:** Your difficulties with team members, partners, vendors, and customers pile up. People don't seem to understand your vision or follow through on commitments. Your team members aren't aligned on priorities or direction.
- **Stagnation:** Your business feels sluggish, revenue remains flat, and you can't figure out how to move forward.

The Five Stages of Failing Businesses

How can you tell if your business isn't just *stuck*, but *failing*? In *How the Mighty Fall*, Jim Collins identifies five phases that lead companies from success to failure. Understanding these phases can help you recognize why the challenges Wickman describes are happening and how to prevent your business performance from getting worse.

Stage 1: Overconfidence. A successful company starts believing it can do no wrong. Leaders become arrogant and either pursue risky projects or lose sight of what made them successful in the first place.

Stage 2: Overreaching. A company becomes obsessed with rapid growth at any cost. Instead of building steadily on their strengths, they try to expand too quickly or in directions that don't fit their

expertise.

Stage 3: Ignoring. Companies ignore or misinterpret warning signs of decline. When problems emerge, leaders blame outside factors or interpret troubling data optimistically instead of facing hard truths.

Stage 4: Overcorrection. Leaders finally acknowledge the crisis and desperately search for quick fixes, like hiring an outsider CEO or overhauling their strategy. These dramatic moves rarely work because they create confusion and drain financial resources.

Stage 5: Surrender. A company either runs out of options or simply gives up.

The Six Steps to a Successful Business

To avoid or overcome the challenges holding your business back, Wickman writes that you must follow six key steps. When you properly implement these steps, your business can function smoothly without your constant attention. In this section, we'll explain how to complete each step so your company becomes successful, self-sustaining, and ready for growth.

Step #1: Create a Clear Vision

The first step, says Wickman, is to create a clear vision for your company and make sure everyone understands it. A vision clarifies your company's identity, its future goals, and the strategy to achieve them. Many business owners have a vision in their head, but they often assume others understand it equally well. When people aren't clear on the company's direction, they waste their efforts on the wrong tasks, and the company fails to reach its goals. In contrast, **a clear vision that everyone understands aligns all efforts toward the same goals.**

(Shortform note: In *The Advantage*, Patrick Lencioni calls this alignment "organizational health" and argues that it's an invisible superpower most leaders overlook. He explains that [organizational health requires two things](#): clear, consistent goals that are communicated to everyone, and individuals who are dedicated to those goals. Lencioni notes that many leaders dismiss organizational health as too intangible to focus on, so those who commit to building it gain an edge over their competitors.)

To create a vision, you must clarify five things:

- Your guiding values
- Your main focus
- Your goals
- Your market approach
- Your obstacles

Your Guiding Values

Wickman writes that **values define what your company stands for and its culture.** Strong values attract people who share them and encourage those who don't to leave. To find your core values, Wickman suggests three steps:

- **Step 1:** Think of your three best employees.
- **Step 2:** List the qualities they demonstrate.
- **Step 3:** Choose three to seven values from that list that define your company.

(Shortform note: Even if you identify the right values, they won't matter if your employees can't remember them. Other business experts argue that the solution is [better design](#): They recommend limiting your company's values to four or fewer, using vivid language instead of generic words like "integrity" or "accountability," and arranging them into memorable formats like acrostics or visual emblems. When crafting your values from Wickman's process, consider how you'll phrase them so they stick in people's minds, not just what qualities they represent.)

After identifying your values, share them company-wide through a presentation that illustrates each value with stories and examples. Then, build your culture around these values by using them when you make decisions about who to hire, fire, and reward. For example, when you interview job candidates, explain your company's values and ask job-seekers how they've applied similar values in their previous work.

(Shortform note: Once you've identified your core values, the authors of [CEO Excellence](#) argue you should choose *one* value to serve as [your company's cultural anchor](#)—a single concept that emotionally resonates with everyone, guides their daily decisions, and serves as a focal point for your entire company culture. For instance, if you choose "respect" as your anchor, it could include respect for colleagues, customers, and the environment. In addition to making sure your decisions to hire, fire, and reward employees reflect this value, the authors also recommend providing them with the training and safe environment they'll need to live out this culture.)

Your Main Focus

In addition to your guiding values, Wickman also suggests **clarifying the one thing your company does best—your main focus**. To discover this focus, follow two steps:

- **Step 1:** Determine your company's purpose and what you're passionate about.
- **Step 2:** Determine your speciality—the specific thing your company does to fulfill that purpose or passion.

For example, a software company might exist to help small businesses manage their money (purpose). It fulfills this purpose by creating easy-to-use accounting software (specialty).

(Shortform note: In [The Infinite Game](#), Simon Sinek argues that your company's focus should be ambitious enough that [it can never be fully achieved](#). He points to the Declaration of Independence as an example: Its vision of universal rights originally applied only to white, landowning, Protestant men, but it inspired generations to expand those rights. Sinek suggests celebrating milestones along the way as glimpses of your ideal future while you continue to pursue your purpose in new ways.)

Wickman writes that **once you know your focus, you can stop doing activities that don't fit with it**. This might mean cutting product lines that don't match your specialty, removing roles that aren't needed, or closing entire divisions. Your leadership team must protect your main focus from distractions. When you stick to what your company does best, you get better results and build a stronger business.

(Shortform note: Research supports Wickman's recommendation to protect your company's main focus. [A study of over 700 large companies](#) found that businesses that concentrated on their core strengths—rather than spreading into unrelated areas—delivered higher returns to shareholders and earned stronger valuations from investors. Companies that gradually streamlined their portfolios over multiple years outperformed their peers by over 8% during the transformation period. The study also found that making too many dramatic changes at once can backfire, while steady, consistent moves toward greater focus tend to work best.)

Your Goals

To create an effective vision for your business, you must also **create goals that guide your decisions, track your progress, and maintain direction.** Wickman recommends creating three types of goals:

Your 10-year goal: Identify an ambitious, specific, measurable goal you want to achieve in 10 years—for example, “Grow from regional to national distribution with outlets in 45 states.” Focus on what you want to achieve, not how you’ll get there. This opens your mind to creative solutions you might miss otherwise. Your 10-year goal should excite everyone in your company.

(Shortform note: While Wickman recommends setting a single, specific target, research suggests you might actually boost motivation by [framing your goal as a range instead](#). Ranges feel both challenging (you can aim for the high end) and attainable (you can succeed by hitting the low end), whereas single-number targets often feel like a compromise between the two.)

Your three-year goal: Set revenue and profit targets, choose one key measurable (like customer satisfaction scores or production capacity), and describe what the company will look like at that time (including staff size, environment, products, and client base). This medium-term goal helps employees understand where the company is heading in the near future.

Your one-year goal: Set this year's revenue and profit goals, plus a measurable that aligns with your three-year goal. Then choose three to seven objectives to complete this year that will move you toward your three-year goal. This plan builds momentum toward your vision.

An Alternative Approach to Goals: Prioritize Stability Over Growth

While ambitious goals can inspire your team, some experts argue they may do more harm than good. In [It Doesn't Have to Be Crazy at Work](#), Jason Fried and David Heinemeier Hansson identify three downsides to aggressive growth strategies:

- 1. Growth targets demoralize your team:** Growth-focused goals create a workplace where people never feel satisfied—as soon as you hit one target, management sets another. This constant pressure to do better can demoralize your team and lead to burnout.
- 2. Growth targets create financial stress:** Many businesses spend more money than they earn while pursuing ambitious growth goals. This creates a high-stakes environment where failure to hit targets could bankrupt the business, which puts emotional stress on employees.
- 3. Growth targets encourage unethical behavior:** When hitting the numbers becomes the only thing that matters, employees may cut corners or break promises to customers just to meet their goals. The authors cite [Wells Fargo's scandal in 2016](#), where employees opened millions of fake accounts to meet sales quotas.

As an alternative, Fried and Hansson recommend defining success as [the ongoing completion of stable, consistent goals](#) rather than constantly raising the bar. Therefore, if you adopt Wickman's tiered goal structure, consider whether each goal genuinely excites your team or simply adds pressure that could undermine the vision you're trying to build.

Your Market Approach

Next, Wickman explains that a clear market strategy is another vital part of your business's vision. **A focused marketing strategy guides all of the promotional materials you'll create and leads to better**

business results. Without this focus, you'll waste resources on scattered efforts that have little impact.

According to Wickman, an effective market strategy includes four key elements:

Your target customer: Define exactly who you want to sell to by considering geographic, demographic, and behavioral traits—for example, “small business owners with 5-15 employees in urban areas who need accounting software.” Then, create a list of prospects that match this description. When you target your best prospects—customers who offer more profit with fewer problems—you'll sell more effectively.

(Shortform note: Business experts note that your [most profitable customers](#) tend to share several characteristics: They place large orders instead of many small ones, pay on time and upfront rather than in installments, need little from your sales and support team, rarely change their orders after placing them, and accept your standard contract terms. By factoring in these cost considerations alongside your target customer profile, you can focus on prospects who are both a good fit and affordable to serve.)

Your differentiators: Choose three strengths that make you different from your competitors. Many businesses try to offer too many things to please everyone, which prevents them from standing out in any particular area.

(Shortform note: If you're struggling to identify your unique strengths, William M. Luther ([The Marketing Plan](#)) describes [four ways](#) businesses can differentiate themselves in crowded markets: First, you can provide a better product by improving your operations and quality control. Second, you can make your product *appear* more valuable through smart marketing. Third, you can offer lower prices by cutting costs while maintaining quality. Lastly, you can win customers through superior service that builds loyalty and keeps people coming back.)

Your unique process: Describe the main steps of your specific approach to delivering your products or services. Present this visually on a single page with a memorable name that you can show customers to build their trust in your business.

Your promise: Identify your customers' biggest concerns and make a promise that addresses them. Include a specific penalty or compensation that customers will receive if you fail to deliver on your promise. This builds customer confidence, increases sales, and motivates your team to deliver.

(Shortform note: In [Getting Everything You Can Out of All You've Got](#), Jay Abraham explains that customers only buy from businesses they feel confident in, so you must identify and address their specific hesitations. In addition to documenting your process and offering a promise, Abraham says you can also [counter doubts with incentives](#) like free trials and introductory discounts, as well as excellent customer service—responding quickly, following through on your promise, and asking how you can serve them better. This reinforces the trust your process and promise create.)

Your Obstacles

Wickman writes that **once you know where your company's headed, you must identify anything that might stop you.** With your leadership team, discuss and list obstacles you might face while pursuing your vision. Keep updating this list as you operate your business. We'll discuss how to address these issues systematically later.

(Shortform note: In [Think Like a Freak](#), Steven Levitt and Stephen Dubner recommend a thought experiment called a [premortem](#) that can help you identify potential obstacles. Unlike a postmortem, which analyzes what went wrong after a project fails, a premortem has you imagine that your project has *already* failed and brainstorm reasons why. They suggest making the exercise anonymous so team members feel comfortable

raising concerns they might otherwise hesitate to share. By identifying potential points of failure before they happen, you can prepare solutions in advance and keep obstacles from derailing your vision.)

Step #2: Organize Your Team Effectively

After you've created a clear vision, the next step to creating a successful business is to build an effective team. Wickman argues that **having people who don't fit your company or having people in the wrong roles hurts your business**. To organize your team effectively, hire people who share your guiding values and place them in roles that match their skills.

Assess the Cultural Fit of Your Employees

First, Wickman suggests you **create a system to measure how well employees align with your company values**. This clarifies personnel decisions and reduces subjectivity.

1. Make a spreadsheet with core values across the top
2. List employee names down the side.
3. Rate each person on each value: strong, moderate, or weak.
4. Set a minimum acceptable standard with your leadership team.

When someone falls short of this standard, give them an opportunity to improve. Wickman recommends a three-step process: First, clearly explain the issue and your expectations. Give them 30 days to improve. Second, if they don't improve enough, clarify expectations again and give them another 30 days. Lastly, if they still don't meet your standards, end their employment. Your other employees will appreciate this accountability.

Managing Two Types of Underperforming Employees

Not all underperforming employees are the same, and understanding why someone is struggling can help you decide whether to coach them or let them go. In [Radical Candor](#), Kim Scott distinguishes between two types:

For [employees with a history of low performance](#) who show no signs of improvement, Scott recommends asking yourself whether you've been clear about expectations, whether their work is dragging down the team or taking your attention away from higher performers, and whether a neutral third party agrees with your assessment. If you answer yes to these questions, it's likely time to part ways—holding onto someone who consistently underperforms ultimately hurts your entire team.

For [employees who previously performed well but are now struggling](#), Scott suggests you identify potential reasons behind their decline: They might be in the wrong role for their skills, or may need better training or a lighter workload while adjusting to a new position. They could be dealing with personal problems that need time and space to resolve, or they might simply clash with your company culture. Understanding which of these issues is at play helps you decide whether to reassign them, support them through a rough patch, or acknowledge that they'd be happier elsewhere.

Create a Clear Organizational Structure

After you ensure employees' cultural fit, Wickman suggests you **define clear functions and roles**. Most businesses have three main functions:

- **Sales and marketing:** attracting customers and closing deals
- **Operations:** creating and delivering what you sell
- **Finance:** handling accounting and money management

Wickman recommends appointing one leader for each of these functional areas. This creates clear lines of responsibility and prevents confusion about who handles what parts of the business.

(Shortform note: In *Business Made Simple*, Donald Miller recommends [thinking of your business as an airplane](#) to understand how different business functions interact and depend on each other. The plane's body represents your overhead costs, the wings are your products and services, the engines are marketing and sales, and fuel is your cash flow. For the plane to fly, all parts must be in the right proportion—if the body is too heavy with overhead costs or the engines of marketing and sales aren't powerful enough, the plane crashes. This mental model reinforces why having strong leaders in each functional area matters: Each part of your business airplane needs someone ensuring it stays balanced with the rest.)

Beyond these three functions, Wickman writes that **every company needs two types of leaders:**

- **A managerial leader** runs day-to-day business operations, oversees finances, and tracks goals. They excel at management, problem-solving, and holding people accountable.
- **A visionary leader** (often the founder) generates creative ideas, solves major problems, and builds important relationships. They stay connected to company culture and morale.

According to Wickman, these two leadership types complement and balance each other. Companies typically struggle without both types of leaders.

(Shortform note: In *The Founder's Dilemmas*, Noam Wasserman also recommends splitting leadership roles, but he argues that you must balance clear role division with collaboration. When founding teams divide responsibilities, each person can focus deeply on their area of expertise. However, this can also [create overly rigid silos](#) where leaders only care about their own department. Therefore, your business will benefit more from specialization (like having dedicated visionary and manager leaders) if you ensure these roles work together cohesively rather than in isolation.)

Put People in the Right Positions

Once you have a clear structure, Wickman says to make sure people are in positions where they can excel. To determine if someone is right for a role, ask yourself three questions:

- **Do they fully understand the role?** This includes all the role's responsibilities, the systems they'll interact with, and how their job connects to the company's mission.
- **Do they genuinely want the role?** They should be motivated and truly enjoy the work.
- **Do they have the capability to do it well?** They should have the necessary intellectual, physical, and emotional abilities, including experience, knowledge, and interpersonal skills.

When someone doesn't satisfy all three criteria, you lack confidence in their performance, so you can't give them full ownership of their responsibilities. This creates frustration on both sides: You feel burdened by the extra oversight that putting them in that position entails, and they feel untrusted and controlled.

Get Direct Input From Employees About Their Fit

While Wickman recommends that you ask yourself questions about whether someone fits a role, other experts suggest a more collaborative approach. In *First, Break All the Rules*, Marcus Buckingham

says having [regular career conversations](#) gives employees the chance to reflect on their own talents and lets you work together to find roles that genuinely fit them.

During these discussions, ask employees to describe what success looks like in their current role, what they enjoy most about their work, what they struggle with, and what their ideal position would be. You should also share your perspective as a manager throughout the conversation to create a dialogue.

If you're moving someone into a new role, consider doing [a trial period](#). This removes a sense of "failure" if the role turns out to be a poor fit—employees can return to their previous position without feeling embarrassed.

Step #3: Track Key Metrics

According to Wickman, the third step to creating a successful business is to **monitor weekly metrics**. Many business owners rely on gut feelings instead of actual data. Additionally, while most companies look at monthly financial reports, by then it's often too late to fix emerging problems. Therefore, Wickman recommends creating a weekly tracking system to assess your business health, spot problems and trends, and make corrections before issues escalate.

(Shortform note: In [How to Measure Anything](#), Douglas Hubbard says even simple measurements can dramatically improve decision-making by [reducing uncertainty](#). When you track weekly metrics, you're essentially creating what Hubbard calls "confidence intervals"—probability ranges that tell you where the true value of something likely falls. For example, weekly metrics might show you there's a 90% chance sales will fall between \$40,000-\$60,000 this month, giving you specific bounds to work with.)

To develop a weekly tracking system, first choose your key numbers: **five to 15 metrics that best show how your business is performing each week**. These might include sales revenue, new customer leads, website visitors, inventory turnover rate, and so on. Then, create a tracking spreadsheet with the metrics in the left column, followed by a target column for those metrics, and then columns for 13 weeks of data. Set your targets based on the goals in your annual plan.

(Shortform note: In [The 4 Disciplines of Execution](#), Chris McChesney, Jim Huling, and Sean Covey recommend you track both *lag measures* (results that tell you if you've achieved your goals) and *lead measures*—the actions that predict future results. The most effective lead measures have two qualities: They must be predictive (directly affecting your lag measures) and influenceable (something your team can control without depending on outside factors). By including both types of metrics in your weekly tracking spreadsheet, you create a more complete picture of not just your results, but the actions driving those results.)

Next, Wickman suggests you **give every employee one number they're responsible for achieving**. Numbers are concrete and objective. They create clear accountability, increase productivity, and encourage teamwork. For example, assigning an employee to "schedule at least 10 client meetings per week" is specific and measurable, while telling them to "stay busy with clients" is vague and subjective.

Each week, review the spreadsheet with your leadership team to monitor how the business is performing and make any necessary adjustments to stay on track toward your goals.

(Shortform note: Some experts caution that number-based accountability systems can backfire. Research shows that only [21% of employees](#) feel their performance metrics are within their control, which makes accountability feel arbitrary and demotivating. To make number-based accountability work, experts

recommend focusing on solutions rather than blame—working with employees to identify meaningful steps for improvement rather than simply assigning a score. Provide consistent feedback, acknowledge your own role in their work, and treat mistakes as opportunities for growth rather than punishment.)

Step #4: Solve Problems Systematically

Beyond tracking numbers, Wickman says that **successful businesses also need a consistent way to identify and solve problems**. He explains that many leadership teams fall into the trap of discussing the same problems repeatedly without actually solving them. When issues remain unresolved, they drain your company's energy and resources, getting in the way of your goals.

Maintain Problem Lists

To solve problems systematically, Wickman recommends **documenting all issues in lists where they can be addressed**. He suggests creating three types of problem lists:

A quarterly issues list: Use this list for problems that aren't urgent and can wait three months to be addressed in quarterly leadership meetings. This might include creating employee development programs or discussing major equipment purchases.

A weekly issues list: Use this list for important problems that affect your entire company (not just one department) and need to be addressed at the next weekly leadership meeting. This might include company goals that are falling behind schedule, key performance metrics that are too low, or problems with important clients.

A departmental issues list: Use this list for urgent problems within a specific department that must be handled immediately. For example, a marketing team might track issues like fixing a broken website link or meeting a deadline for an advertising campaign.

How Problem Lists Prevent Workplace Dysfunction

According to Liz Wiseman in *Impact Players*, many workplaces suffer from **small, nagging problems** that everyone complains about but no one fixes. These issues often go unresolved because they seem annoying but not urgent enough to prioritize. However, ignoring these problems lets them quietly erode your team's productivity and effectiveness over time. When you document issues on a list, you prevent them from lingering indefinitely and ensure they eventually get resolved.

Wiseman also offers specific guidance for how *employees* can take initiative and tackle problems that have been identified. She encourages them to step into informal leadership roles to address issues that no one else is handling. By maintaining organized problem lists, you create a system that makes it easier to identify which problems aren't being addressed and opportunities for employees to step in to make a difference.

Resolve Problems Efficiently

Once you've sorted your problems into the right lists, you need a clear process to solve them efficiently. Wickman offers five steps:

1. Prioritize: Select the three most important problems from your list and address them in order of importance.

(Shortform note: If you're not sure how to decide the order in which to solve your problems, consider Mike

Michalowicz's system in *Fix This Next*. He organizes business needs into **five tiers** (from lowest to highest): sales, profit, structure, influence, and self-perpetuation. To find your most critical problem, identify the lowest tier where you still have unfulfilled requirements, then determine which specific issue within that tier would most improve your company if solved.)

2. Identify the root cause: Dig deeper to find what's really causing the problem. Many teams waste time by discussing symptoms rather than root causes.

(Shortform note: Sometimes the root cause isn't obvious because you're facing what Richard Rumelt (*The Crux*) calls a "**broad issue**"—a complex problem with no known solutions or reliable way to test new solutions. When you encounter problems like these, you'll need to develop entirely new approaches to uncover what's truly causing the problem.)

3. Gather input: Let everyone on the team contribute their perspective on the problem. When you've correctly identified the root cause, the right solution often becomes obvious to everyone.

4. Act on a solution: Choose the best solution and assign one specific person to carry it out.

5. Track completion: Add the task to your to-do list and check in regularly to make sure it gets done. Once it's finished, you can cross the problem off your list.

(Shortform note: In *Continuous Discovery Habits*, Teresa Torres argues that people generate more creative ideas when they **brainstorm alone before sharing with the group**. Group brainstorming can cause people to get stuck or defer to others' thinking, which limits creativity. Torres recommends you alternate between solo and group sessions until you have at least 15 potential solutions, then vote to narrow down to the top three options.)

Step #5: Systematize Your Business Processes

According to Wickman, your company has a few key processes that keep it running—together they constitute your unique approach to doing business. He recommends that you **document these processes by writing down step-by-step instructions for each one**. When you do this, employees can follow the documented steps instead of constantly asking you questions. This frees you to focus on building your business rather than managing daily details.

Additionally, when everyone follows the same processes, managers more easily identify and solve problems. Many problems stem from process breakdowns—you can trace the problem to the specific failed step and correct it. Standardized processes also position you for growth. When you have proven, documented methods, you can train new employees quickly and maintain quality as you expand. This makes it easier to scale your business by serving more customers and generating more revenue without sacrificing consistency.

(Shortform note: Though Wickman touts the value of standardization, in *The End of Average*, Todd Rose warns that **too much standardization can stifle individuality**. He explains that many modern businesses follow an outdated 19th-century factory model, where managers designed rigid, one-size-fits-all processes that the average worker could follow without thinking. While this might seem efficient, it hurts both employees and companies—employees feel unfulfilled, and businesses miss out on the creative ideas and unique strengths their employees could contribute. The key may be finding balance: Use standardized processes as a foundation for consistency, but give employees room to apply their individual strengths and ideas.)

Wickman suggests you start by **identifying every major process in your business and listing their**

names on one page. Most businesses have processes for hiring and managing people, marketing their services, making sales, delivering their product or service, managing finances, and serving customers.

Next, have each person who runs each process document the steps involved. Wickman recommends keeping it simple: Focus on the critical 20% of the process that produces 80% of the results. For each process, list the main steps with brief instructions—aiming for fewer than 10 pages per process. This documentation helps you spot steps you can remove or improve.

(Shortform note: As Wickman observes, it's important to limit the number of processes you focus on. In *The Friction Project*, Robert Sutton and Huggy Rao explain that organizations often suffer from “[addition addiction](#)”—leaders keep piling on new rules, meetings, and processes without removing anything. This creates friction that slows everyone down and frustrates employees. To combat this, they recommend surveying employees about what frustrates them and weighing whether tasks are truly valuable.)

Lastly, says Wickman, put all your documented processes into one employee manual and train every employee on the processes they need to use. Make it clear that these processes aren't optional—everyone, including you and other leaders, must follow them consistently.

Document a Process for When There Isn't a Process

Documented processes work well for routine tasks, but what happens when employees face unexpected situations that aren't covered in your manual? In these situations, Mike Michalowicz (*The Pumpkin Plan*) suggests creating [a framework for how employees should think](#) instead of what they should *do*. When team members approach decisions the same way you do, they'll naturally arrive at similar solutions—even in unpredictable circumstances.

Michalowicz recommends giving employees three questions in this order:

- Will this decision improve our best customers' experiences?
- Will it support our unique way of delivering products or services?
- Will it benefit our profitability?

If an employee answers “no” at any stage, they need to rethink their approach and come up with a different plan. The ordering of these questions protects your company from short-term thinking. By requiring employees to prioritize customer experience and your unique approach before considering profits, you prevent decisions that might make money quickly but weaken what makes your business special. This framework gives your team the freedom to solve problems independently while ensuring their decisions align with what matters most to your company—just as documented processes do for more predictable tasks.

Step #6: Execute Your Vision

According to Wickman, the final step to creating a successful business is to **turn your vision into real actions and results**. To execute your vision, set 90-day priorities for everyone and establish a meeting structure. These tools keep everyone focused on the same goals and create accountability for results.

Clarify 90-Day Priorities for Everyone

Wickman suggests you **meet with your senior leaders to review your vision and set quarterly**

priorities. Start by listing everything that must be accomplished in the next 90 days to move toward your vision.

Then, narrow this list to three to seven company priorities. For each priority, set a deadline and make sure it's specific, measurable, and achievable. Assign one leadership team member to own each priority. This person creates a timeline, assigns tasks to team members, and makes sure the work gets done.

(Shortform note: In *Mastering the Rockefeller Habits*, Verne Harnish recommends [creating a fun theme](#) for your 90-day priorities to make them more engaging. For example, if you're working to boost customer satisfaction scores, you might create a space exploration theme called "Mission to the Stars" with posters showing your team as astronauts exploring new frontiers of service excellence. When the team hits their goal, reward them with a team outing to a planetarium or escape room with a space theme. This gives your team something to look forward to and a way to celebrate their wins together, making your quarterly priorities feel more like shared challenges worth conquering.)

After setting company priorities, have everyone set their own goals: Each leadership team member sets three to seven priorities for the quarter (including any company priority they own). Compile all company and leadership priorities onto one page and review this list weekly at leadership meetings. Then, each department and each employee follows the same process to set one to three priorities of their own.

(Shortform note: In *Working Backwards*, Colin Bryar and Bill Carr explain how Amazon takes Wickman's prioritization even further with [single-responsibility teams](#). Unlike traditional companies, where employees juggle multiple projects simultaneously, Amazon assigns each team one focus—like expanding into a new market or improving a specific service. This prevents people from having too many scattered priorities that go unfinished. So, when setting priorities, consider limiting the number to the lower end of Wickman's range if you want to ensure they get successfully executed.)

Hold Regular Leadership Meetings

Next, to execute your vision, Wickman suggests you hold regular meetings to keep everyone accountable and make progress toward your goals. He suggests two types of meetings:

Quarterly meetings: At the start of each quarter, review the previous quarter's results, such as the financials and the priorities you've achieved. Then, set new priorities for the next 90 days.

Weekly meetings: Once you've set your quarterly priorities, meet with your leadership team weekly to stay focused and address issues. Review your tracked numbers, priorities, and last week's tasks. Also, use this time to solve the problems on your lists.

Tips for Holding Effective Meetings

In *Death by Meeting*, Patrick Lencioni explains that most meetings feel like a waste of time because they lack [the drama and conflict that keep people engaged](#). He argues that meetings should be as compelling as movies—they need a hook in the first 10 minutes that explains what's at stake for the company and its employees. For instance, you might explain that the company is under threat, or that it's struggling to make a dent in a new market. Alternatively, if you don't want to start on a negative note, explain how a good decision could make life better for employees, clients, or the world.

Lencioni recommends holding weekly and quarterly meetings as Wickman suggests, but he also mentions [two additional types](#):

First, he recommends holding daily five-minute check-ins where everyone shares what they're working on that day. When everyone knows what their colleagues are doing, there's less confusion and redundant work throughout the day.

Second, he suggests monthly strategic meetings lasting two to four hours, where you debate major decisions with only two to three topics on the agenda. Unlike Wickman's weekly and quarterly meetings that focus on tracking progress and setting priorities, these strategic sessions give you time to thoroughly explore big questions like whether to expand into a new market or change your target customer.

Introduction

Traction is a blueprint for business success for first-time entrepreneurs and those who've hit a ceiling in their business where hard work and determination are no longer enough for the business to survive and grow.

Business owner and consultant Gino Wickman explains how to structure your business using his Entrepreneurial Operating System to remove typical frustrations, so your business runs seamlessly and grows at a faster rate than you thought possible.

The system is based on practical experience, not theory. Numerous tools and templates lead business owners step by step through processes to create a structure and focus that strengthen and reenergize their organizations.

Most entrepreneurs experience one or more of the following frustrations:

- **Lack of control:** You aren't controlling your business, it's controlling you. You're putting in ever-longer hours yet barely keeping up with what's happening in your company and market.
- **People:** You're frustrated with your partners, employees, vendors, and customers. People don't seem to hear what you say or follow through with action. No one's on the same page.
- **A growth ceiling:** Your business has hit a ceiling that you can't seem to push through.
- **You're stuck:** Your business is spinning its wheels. The strategies and advice you've applied haven't given you the traction to get going again.

Part of the problem is you've become so wrapped up in your business you've forgotten that it's separate from you. To reach the next level, you need to build it into a self-sustaining entity, powered by an effective system rather than just your determination.

The Entrepreneurial Operating System or EOS™ builds or strengthens six key business components the author discovered while turning around his family's company; he now teaches the system as an author and consultant. Clients using the system average 18% annual revenue growth.

Chapter 1: The Entrepreneurial Operating System

Most entrepreneurs get caught up in worrying about countless details. However, every organization or system has a number of key components—and when they're set up correctly, your business functions smoothly without your constant oversight.

The six key elements of any business or organization are:

1) Vision: You need a compelling vision for your business that you communicate clearly so everyone can focus their energy on it and help you achieve it.

This book explains how to define your vision, which capsulizes who you are as an organization, where you're going, and how you'll get there. You develop a vision by identifying your "sweet spot," the area where you excel; defining a marketing strategy; and setting one-, three-, and 10-year goals.

2) People: You need to have the right people in the right positions. People who are wrong for your company, or are in the wrong positions, hurt your business. A tool introduced in Chapter 4 helps you identify the right people, those who share your core values. Another tool (GWC) helps you put people in the right jobs by assessing whether they "get," want, and are capable of the job.

You also need the right organizational structure. The Accountability Chart helps you create a structure defining and clarifying your business functions, roles, and responsibilities.

3) Data: By creating a "Scorecard" or weekly report on a few key numbers, you can regularly check the vital signs of your business, quickly see and solve problems, and predict the future—without waiting for financial statements. You can also give each person a metric or number she's accountable for.

4) Issues: You need to systematically identify and address issues before they undermine your business. To do this, maintain and regularly review an issues list (covered in Chapter 6). When you take the time to solve a problem, you'll save up to 10 times that amount of time dealing with the problem or its consequences later.

5) Process: Your processes are the way you do business. You need to identify, address, and document each of your core processes, and continually improve them. Many entrepreneurs don't fully appreciate the value of having the right processes—however, sound processes create efficiency and make your business scalable and more profitable.

6) Traction: Traction—the ability to execute, or make the company's vision a reality—requires two things: 1) 90-day priorities for everyone, and 2) regular, focused, productive meetings at every level.

These six components make up the Entrepreneurial Operating System model. In any given area, most businesses are less than 50% effective. Achieving 80% effectiveness in every area will create a smoothly functioning, effective operation. The myriad details that used to consume you will take care of themselves.

Chapter 2: Letting Go of Control

Most businesses fail to reach the next level of growth because owners are afraid to let go of total control, trust their leadership team, and delegate to them. But for their business to grow, they need to take that leap of faith. The key is getting an EOS™ in place, so your business functions without your micromanagement.

The first step is to change your thinking: Stop treating your company as an extension of yourself and let it evolve into its own entity. For your company to evolve, you must:

1. Build a strong leadership team.
2. Expect to hit ceilings.
3. Choose a single operating system to run your business.
4. Be open-minded and humble.

1) Build a Strong Leadership Team

Every entrepreneur must decide whether to operate the business as a dictator or with a strong leadership team.

A business run by fiat can't grow beyond a certain size, nor outlast its leader. It stalls when the number of decisions and problems becomes too much for one person to handle. The best approach for the health of the business is to run it with a strong leadership team.

Your senior leaders should have clear responsibilities, authority to make decisions in their areas, and accountability for their decisions. Once you choose the right people and establish the expectations and communication processes, you need to let them take control. They'll be better at running their departments than you would be at trying to do everything.

At the same time, the team needs to speak with one voice to the rest of the organization.

2) Expect to Hit Ceilings

Businesses usually grow in stages—they reach a ceiling and push through to the next stage. You must keep making adjustments in order to grow. This is the only option; the alternative is to stagnate and die.

Growth can be external—in revenue, profits, physical size—or internal in organizational capability. Usually, you need internal development first to drive external growth.

Many organizations fail to survive their first growing pains when they hit a ceiling. About half of small businesses fail in the first five years. Michael Gerber, author of *The E-Myth Revisited*, put the number at 80%. Further, he wrote that 80% of those that do last five years fail in the next five. (Shortform note: [Read our summary of The E-Myth Revisited here.](#))

However, you can push through to the next level of growth when you and your executive team adopt five approaches—simplify, delegate, predict, systematize, and structure.

Simplify

Your team must be able to simplify the business to enhance efficiency and focus, by streamlining the system, processes, communication, and the vision. The EOS process is designed for simplicity; the theme throughout this book is that less is more.

Delegate

Reaching the next level of performance for your business also depends on your ability as the leader to delegate. **Delegating operational details allows you to take a strategic view of where the company needs to go**, which is the best use of your time and talents. By contrast, you hold back the company's growth when you stay mired in the details. Think of it this way: when you grow personally, by taking that leap of faith and relinquishing control, your company grows.

At a minimum, you need to delegate tasks like handling customer complaints, approving most invoices, and opening the mail. You'll set an example for your senior leaders, who also need to delegate.

Predict

A company's leaders must be able to accurately predict where the business will be in both the long and short term.

Long-Term Prediction

Publicly held companies predict earnings for every quarter. If they hit their projections, their stock value goes up; if they miss, it falls. However, if small companies fail to meet their projections, they go out of business—so leaders need a strong sense of where a company is going and how it will get there.

A long-term prediction is for 90 days or longer. This kind of prediction isn't about guessing, but determining what you will do in the future based on what you know today. The way to make long-term predictions is to start 10 years out and work backward, to three years, one year, and finally to the next three months.

Leaders need to take the long or strategic view. While your crew battles through the jungle, you need to climb a tree, see where you're headed, and provide direction. In *The E-Myth Revisited*, Gerber argues that business owners must stop working so much *in* the business, and spend more time working *on* it. When you do, you'll reach your goal faster.

Short-Term Prediction

The short-term focus is on what you do daily and weekly. You need to have a handle on the immediate issues and be able to troubleshoot because avoiding or solving them will affect the company's performance in the long term. As you and your team get better at predicting, you'll foresee problems and preempt them.

Systematize

In the early stages of leading a business, you're often reactive, resolving every complaint and issue on the fly. But at some point, instead of numerous individual responses, **you need to systematize the way you handle recurring things**.

Businesses need only a half-dozen or so core processes in order to function. You need to identify them and integrate them into an operating system. By simplifying and documenting these processes, you increase efficiency and reduce errors. With well-defined processes, you can delegate responsibility for each one, while you take the long view.

Structure

You need to create a structure for your company that clearly defines functions, roles, and responsibilities.

Often, small businesses are loosely structured and built around the ego or personality of the leader. This kind of company may get stuck because it can't grow without changing its structure. However, **a structure with defined roles and accountability encourages and enables expansion.**

3) Pick One Operating System

The third requirement for your company to evolve is to choose a single operating system. **Your operating system is like a computer's operating system that organizes activities and data** in a way that enables everyone to be more productive. It's a consistent approach to planning, setting priorities, determining your vision, meeting, and communicating. If you have more than one system, people will work at cross purposes. For your company to succeed, you need an operating system that keeps everyone on the same page.

4) Be Open-Minded

Finally, for your business to evolve, you and your leadership team must be open to new ideas and willing to admit what you don't know and ask for help. You, as the leader, must know your strengths and weaknesses and let those with greater skill in specific areas take charge. You also must be vulnerable or humble enough to see and address your organization's weaknesses.

When you're ready to let go of total control, you can build a stronger organization that continues to succeed at higher and higher levels.

Exercise: Is Your Business Stuck?

Many businesses become stuck or fail because their owners can't let go of control, build a trusted leadership team, delegate, and systematize their business.

In your business, do you have a leadership team that you trust? What kinds of things do you delegate? How often do you check up on people?

Do you spend more time working *on* your business (thinking and planning strategically) or working *in* your business? Why?

Think of a recurring issue in your company. How do you and your people handle it—is there one way or does everyone do things their own way? How could you handle it more systematically?

Chapter 3: Defining a Vision

The first component of the EOS™ is your vision. Most entrepreneurs have a vision for their company, which they assume everyone else can see as well as they can. But many times, others in the organization *don't* see it—and when people are confused, they go in different directions and visions can't be realized.

To get traction—the ability to execute, or make the company's vision a reality—you need to clearly define and communicate your vision.

To create a vision, determine the following:

1. Your defining values
2. Your company's main focus
3. Your 10-year goal
4. Your marketing strategy
5. Your three-year goal
6. Your one-year goal
7. Your quarterly priorities
8. Your issues

If you prefer, you can download the [Vision/Traction Organizer V/TO tool](#) free to fill in your answers.

1) Your Defining Values

Creating a vision starts with defining three to seven core values that serve as guiding principles for your company. They define your culture and who you are. When your core values are clear and compelling, you'll attract people who share them and discourage those who don't from sticking around.

You build a culture around your core values by letting them guide you when you hire, fire, review, and reward people. In *Built to Last*, Jim Collins and Jerry I. Porras write that successful companies defined their core values early in their development and built a culture around them.

In contrast, most businesses lack clarity about where they're going, which hinders their growth.

How to Determine Your Core Values

Here are four steps to determine your company's core values:

Step 1: Think of three people in your company who stand out as star performers.

Step 2: List the characteristics these people embody. What do they do or what values do they exemplify—for example, working hard, serving customers, and acting with integrity or imagination.

Step 3: Your core values are among the characteristics you listed. Combine similar values and narrow the list.

Step 4: Decide which three to seven values define your company. Examples are: service, results, or cutting-edge knowledge. Think about them for a month or so, then finalize them.

Communicate them to your employees in a compelling way. Write a speech that backs up each value

with stories and examples of people in your company applying the value. Present the speech at a company-wide meeting. Also, explain the values and examples when you interview job candidates—and ask them about ways they have applied those values in their previous work. You'll make better hires if you determine whether candidates share your values before you evaluate their skills.

When your core values are part of the common language in your organization, they'll become a way of life.

2) Your Company's Main Focus

The second step in defining your vision is determining your company's main focus. When talking about their main focus, businesses use different terms for it, including mission, core business, and "sweet spot." Your core focus is the job your company excels at. It should get your time and resources.

It's the responsibility of your leadership team to establish your company's core focus and make sure nothing distracts from it. When you clarify your focus, you may discover that you need to streamline the business, eliminating unrelated product lines, positions, or even divisions that don't fit. While this is painful, it strengthens the company in the long run.

How to Determine Your Focus

To determine your core focus, you need to know two things: your company's reason for being and its niche. Here are some ways to think about these components.

1) Why does your company exist? What's its purpose or mission? The answer doesn't have to be unique to your business; when you answer the niche question, you'll be looking for what's unique or differentiates your business from others.

To define your purpose or mission, strive for an answer that:

- Is no more than seven words
- Is simple
- Is bold
- Resonates emotionally
- Involves everyone in the company
- Doesn't involve money
- Is broader than a goal

An example of a purpose or mission would be "to improve the quality of life in our town."

2) What's Your Niche? What specifically do you do that fulfills your mission? The answer should be simple and useful in making decisions about how to spend time and resources. Examples of niches include: popcorn (Orville Redenbacher) and solving complex real estate problems (a real estate company).

Here are some examples of both mission and niche, which together define a company's core focus:

- A paving company: being the best (mission), quality asphalt paving (niche)
- A construction firm: exceeding expectations (mission), completing every aspect of a project (niche)
- A laser printer company: building a great company, with great people and results (mission), simplifying companies' printing environments (niche)

As you concentrate your company's efforts on its core focus (purpose and niche), you'll see increased

success and profits as a result of building on what you do best. It's like playing golf: a golf club has a "sweet spot" that, if lined up with the ball, sends the ball farther and straighter, improving your score. Your company's core focus is its sweet spot—if you stick with it, your business will get the best results.

3) Your 10-Year Goal

Companies need long-term goals so they know where they're heading and whether they're on or off course. In *Built to Last*, Collins and Porras write that successful companies stand out in setting big, bold, long-term goals, which the authors referred to as BHAGs: "big, hairy, audacious goals." (Shortform note: for more information about BHAGS, [read our summary of Good to Great by Jim Collins here.](#)) When you have a big, attention-grabbing goal, you start doing things differently in the present to get there.

To make such a mental leap, focus on ends rather than means. Think of your long-term target as the "end." Like an athlete making a long jump, focus on where you will land. When you orient your thinking this way, solutions come to you that wouldn't otherwise.

Examples of big, bold goals include: "\$10 million in revenue with 15% net income," "5 billion gallons moved" (an oil company), and "25% of target market."

How to Set a 10-Year Target

Identifying a 10-year target may take some time. Discuss with your leadership team where you want to take your company. The goal should be specific, measurable, and clear (with no gray areas).

Start by asking what the company's revenue goal could be in 10 years. Once people start talking, firm up a target that everyone agrees on. The right target is one that generates energy throughout the company.

When your company is three years from achieving your 10-year goal, make it your three-year goal and set another 10-year target.

4) Your Marketing Strategy

One reason you need clarity about your core focus is so you can then focus your marketing strategy effectively. A focused strategy will increase your business, and be the basis for promotional material, messages, plans, and advertising.

If you lack focus as a company (try to do too many different things), you'll waste time and money on diffuse marketing messages, printing, or consultants' services that have little impact. For instance, if you try to do everything your customers want, it will be hard to keep up, you'll get frustrated, and the business will be less profitable. A scattered approach may have worked in your company's early stages, but to reach the next level of growth, you need focus.

An effective marketing strategy has four parts:

1. Your target market and prospect list
2. Your differentiators
3. Your process
4. Your guarantee

Your Target Market

Identifying your target market means defining your ideal customer. Your employees need a clear understanding of who you should (and should not) be doing business with and how.

Brainstorm with your leadership team on the following:

- Geographic characteristics (where are your ideal customers)
- Demographic characteristics (industry, size, type of business, job title; age, sex, income, profession)
- Behavioral characteristics (what do they do, think, and need).

As an example of a target market, a laser printing company targets “IT directors in companies with 25 or more laser printers in Michigan and Ohio.”

Next, based on how you define your customer, create a list of prospects for your sales staff to pursue.

In the process, you may discover you have some existing customers who aren't part of your target market. If they're not profitable enough, you'll need to shift your attention to better customers. By focusing on your best-prospects list—those bringing more profit with fewer hassles—you'll turn sales around.

How to Create a Prospect List

Creating your list will involve: examining current prospect lists, getting referrals from clients, examining trade publications, and asking your salespeople for recommendations. Your list should include contact information for each name.

The next question is how to reach them. Most companies find that using referrals is the best method. Or you could use cold calls, direct mail, or a variety of other options appropriate to your business. Implementing a targeted approach will create a snowball effect where your sales effort is self-perpetuating. Generating new business will take less effort.

Your Differentiators

As part of your marketing strategy, identify three qualities or differentiators that make your company stand out to your target customer. (Sometimes these are referred to as uniques or your value proposition—basically, they're what you have to offer customers)

Many businesses offer too many products or services in an effort to please everyone. As a result, they don't stand out at anything. Your sales staff should be able to tell customers what you do better than anyone else and to look elsewhere if they want something different.

For example, Southwest Airlines' three differentiators, under co-founder and CEO Herb Kelleher, were: the lowest fares, on-schedule flights, and having fun. This didn't satisfy those who wanted additional services, but Kelleher famously stuck to the company's core focus, telling dissatisfied passengers, in effect, “So long.” Stick to your differentiators and don't apologize for them.

How to Choose Your Differentiators

Start by listing everything that makes your company, product or service, and people unique. Include your sales and marketing team in this exercise. Ask some of your key customers the same question. Narrow the list to the three qualities that are most important to you and your customers. None of your competitors should provide all three of these services or attributes the way you do.

For example, a property management firm focused on these differentiators: we offer personalized customer service and sales, we invest in our people, and we have an owner's perspective.

Your 'Proven Process'

In most companies, salespeople try to win over new customers by showing them a lot of numbers, visuals, and charts, which makes the salesperson sound the same as every other sales rep.

A more effective sales pitch focuses specifically on what your company does and how. You have a distinct way of delivering your product or service every time that produces a consistent result. It's why your company is successful.

Define your "proven process" in up to seven steps, present it visually on a single sheet of paper, and give it a name, such as "The X Company Difference." Presenting your process this way stands out and increases customer confidence in your ability to deliver. You can introduce it like this: "Here's how we deliver great results for our customers. We have a proven process called ..."

How to Create Your 'Proven Process'

Step 1: Map out up to seven steps for delivering your service and give each step a name. For example, a financial services company listed the following process steps: Discovery, Solution Presentation 1, Competitive Bidding, Solution Presentation 2, Solution Implementation, Review and Service.

Step 2: Add up to five bullet points to each step for salespeople to use as talking points. In the previous example, the first step (Step 1—Discovery) listed the following subpoints: About Us, About You, Defining Your Objectives.

Step 3: Give your delivery process a name, like the "The X Company Difference" or "Our Proven Process."

Step 4: Have a graphic designer illustrate your process and have it professionally printed.

Your Guarantee

Offering a guarantee as part of your marketing strategy is a way for you to differentiate yourself by calling attention to a service or quality shortcoming of your competitors.

For example, Federal Express emphasized its reliability and speed compared to others by guaranteeing overnight delivery: "When it absolutely, positively has to be there overnight." Similarly, Domino's Pizza guaranteed fast delivery: "30 minutes or it's free."

To come up with a guarantee for your company, think about what your customers count on you for.

You don't absolutely need a guarantee, but you'll be more successful if you offer one. You're already missing business because of some area where you *don't* have the full confidence of potential customers. If you can get that confidence, you'll increase your sales.

Besides increasing sales, having a guarantee puts everyone in your company on notice that they need to deliver. It also forces you and your leadership team to ensure the company has the necessary capability. Both of these strengthen your company.

How to Choose a Guarantee

It may take time to come up with the right guarantee for your company. **Start by identifying your target customer's biggest concerns and frustrations.** Then develop several guarantees that will bring you more business by addressing these concerns.

Get feedback on your proposed guarantees from customers. Choose the most effective one that you can deliver—call it a pledge, commitment, or promise if you don't like the word guarantee.

5) Your Three-Year Goal

Now that you know your values, focus, 10-year goal, and marketing strategy to get there, the next step in defining your vision is to create a mid-range or three-year target.

Having a picture for how things will look in three years has two benefits:

- Your employees know where the company is going and can help make your vision a reality.
- It makes the one-year planning process easier, because with an eye on the three-year goal, you can determine what you need to do in the next year to stay on track.

In writing your three-year goal, focus on measurables and bullet points, not details—on the end point rather than the potential hurdles.

How to Set a Three-Year Goal

- Pick a date, preferably the end of a calendar year.
- Determine what your annual revenue will be three years from now (one number, not a range). Your senior leaders need to be on board with the number.
- Set a profit number.
- Choose a key measurable (like number of large clients or quantity produced). For example, an oil company that supplies fuel to gas stations decided its measurable would be gallons delivered. A soup company decided to increase from 38 to 94 stores in three years.
- Use bullet points to describe how the company will look (number of people, resources, office environment, systems, technology, product, clients).
- Leaders should define their roles in that time frame, so everyone is aligned.

When the leadership team understands and agrees on all major points, share the three-year plan with employees.

6) Your One-Year Plan

Creating a one-year plan is the sixth step in defining your vision. The one-year plan, what has to happen this year, creates the traction for achieving your vision. Pick up to seven objectives for the year. When you have more than that, none stand out, your efforts are scattered, and you accomplish little. But when you focus on a few key things, you accomplish more.

How to Create a One-Year Plan

- Set your future date. Set it within the calendar year regardless of where you are in the year. For instance, if you're currently in July, set your future date as Dec. 31. After that, you can create a full one-year plan.
- As with the three-year picture, set a revenue goal, profit goal, and a measurable consistent with your three-year measurable.
- Choose up to seven priorities that should be completed this year to be on track to meet your three-year goal. They should be specific, measurable, and doable.
- Budget for your one-year plan to ensure you have both the resources and a reasonable profit goal.

7) Your 90-Day Priorities

Once you have a one-year plan, determine your priorities (referred to in the book as “Rocks”) for the next 90 days. Like the one-year plan, your 90-day, or quarterly plan creates traction or keeps your company moving forward.

In many organizations, department heads have competing priorities. Having your leadership team determine priorities for each quarter gets everyone united. The right 90-day priorities put you on track for your one-year plan, which positions you to meet your three-year and 10-year targets. (Chapter 8 explains how to set priorities or “Rocks.”)

8) Your Issues

The last step in establishing a vision for your company is creating an issues list—**once you know your destination, you need to know what stands in the way**. You’ll always have issues—being clear on what they are is key to solving them

With your leadership team, discuss and list any obstacles and concerns you’re likely to encounter in pursuing your vision. Always maintain and continually update an issues list, as part of operating your business. Chapter 6 will address solving issues.

Share Your Vision

With the completion of your vision, you have a basis for building and implementing the rest of the Entrepreneurial Operating System (EOS™). Next, share your vision with employees so everyone is working toward the same goal. Communicate your vision with three company events:

- 1) A **kickoff meeting** at which you present your vision, using your core values speech and answering questions.
- 2) A **quarterly company status meeting** at which you share progress, review the vision, and share the priorities for the next quarter.
- 3) A **quarterly leadership meeting** to set both company priorities and priorities for each department to support the overall vision.

The meetings will give employees clear direction, which will enable them to make better decisions and enable you to “delegate and elevate.”

Employees typically need to hear the vision seven times before it sinks in, so it’s critical that you, as the leader, deliver a consistent message repeatedly. Expect to keep repeating your vision, as opposed to expecting employees to get it by the second or third time.

The next chapters deal with making your company’s vision a reality.

Exercise: What’s Your Vision?

Your business should be guided by a vision, which is based on: your core values; a core focus or purpose; a marketing plan; 10-year, three-year, and one-year goals; and 90-day priorities.

What are your three core values (think of the values demonstrated by your three “star” employees—some of those are likely your core values).

What is your company’s core focus—what does it do better than anyone else? What functions are you performing that you should consider getting rid of because they distract from your core focus?

What’s your long-term goal—what do you want your company to look like in 10 years (for instance, in terms of revenue, profit, and market share)?

What’s your three-year goal—where should your company be in three years to be on track for your 10-year target?

The key component of a successful marketing strategy (another part of your vision) is knowing your company’s differentiators (three strengths that set your company apart from competitors). What are your differentiators?

Chapter 4: Managing People Effectively

The second component of the EOS™ is people. There are two steps to managing people in your business: 1) hiring the right people, and 2) putting people in the right positions. The tools and practices introduced in this chapter help you do both.

- **The right people** for your company—the ones who will fit and thrive in your culture—are people who share your key values. The People Analyzer tool is a report card for grading people on your values to see if they're a good fit.
- **The right position** is the one in which the job duties match the employee's distinctive skills and talents and she's able to apply her abilities to the greatest effect. The person in the right place creates value for the company and receives value from having the opportunity to hone a talent.

Three common personnel problems are:

1) Right person, wrong position: The employee shares the company's core values but isn't in a position that matches her particular talents. She may have been promoted to a position that's not a good match, outgrown her current position, or was put into the wrong position to begin with.

Often, the person is allowed to continue in an unsuitable position because she's been around a long time. But as long as she's in the wrong position, she can't grow and will hinder the company's growth. If the right seat isn't available for her, you may have no choice but to let her go.

2) Wrong person, right position: An employee's skills and talents may be a good match for the job, but if he doesn't share your values, he'll hurt the company in the long run. He'll likely undermine the company by making negative comments and spreading dissension. When a person is wrong for the company, he needs to go.

3) Wrong person, wrong position: Sometimes a position evolves as company needs change, but the person holding it doesn't or can't change. This person also needs to go.

The Right People

The "People Analyzer" is a report card tool for assessing how well current and potential employees match your company's values. [Download the tool here](#) or create your own version. It helps clarify personnel decisions and makes them less subjective.

The 'People Analyzer' Tool

Using the downloaded form or a spreadsheet, list the people you're assessing in the left column and list your core values across the top.

Rate those on the list for how they align with your core values:

- Give them a plus (+) if they demonstrate the value most of the time
- A plus/minus (+/-) if they sometimes demonstrate the value.
- A minus (-) if they rarely demonstrate the value.

The company's senior leaders need to decide the minimum acceptable standard managers should apply in hiring and holding employees accountable. For instance, if a company has five core values, the overall bar

could be three pluses, two middle ratings, and no minuses. People who are at or above this standard would be right for your company.

How to Implement the 'People Analyzer' Tool

Step 1: Have your leadership team analyze each other's alignment with the company's core values. There are two benefits:

- It's a test of your values. If everyone on the team is weak in a particular value, it may be one you should exclude from your core values.
- You'll learn whether any of your senior leaders are below standard. If so, give them a chance to improve using the three-strike rule.

Step 2: As a leadership team, assess the rest of the employees and have each person's manager share the assessment with him.

Step 3: As the company leader, use the assessment tool in your quarterly performance reviews with senior leaders and let them grade you too.

Step 4: If you have a personnel problem, use the tool to assess the person. If they're not meeting the standard for the right fit, use the three-strike process.

Give Employees Three Strikes

If a current employee is falling short, share your assessment and give him a chance to improve.

Use the three-strikes rule:

- **Strike One:** Point out the problem and your expectations, and give him 30 days to improve.
- **Strike Two:** If the person isn't improving enough, be clear with him about that and give him another 30 days to meet expectations.
- **Strike Three:** If the person still doesn't meet expectations, terminate him. Other employees who are meeting company standards will appreciate your holding everyone accountable.

Usually, when you're clear about the company's core values, people who aren't right for the company will realize it and leave voluntarily because they can't go on unnoticed.

The Accountability Chart

Before you can put people in positions, you need a structure. The Accountability Chart is an organization chart that defines the functions (departments) and roles in your business.

A business typically has three major functions or departments, which are equally important and interdependent:

- Sales and marketing to generate business.
- Operations, which produces the product or provides the service
- Finance and administration, which handles the money

All three functions need to be strong or the company will struggle. For instance, it will fail if it has a strong

sales effort but the operations department can't reliably deliver the product.

For the Accountability Chart, visualize the three functions as three boxes lined up horizontally.

Only one person should be in charge of each function and accountable for its performance. If you have more than one name in a box on your organization chart, your lines of accountability aren't clear, and this is likely hindering your company's ability to grow.

Some functions may be subdivided—for instance sales and marketing or finance and administration may be split—but remember to keep things simple.

The Integrator and Visionary Roles

To coordinate the three major departments and manage the tension that will develop among department heads, a company needs an "integrator," usually a general manager, CEO, or president, who runs the overall business. In addition to the integrator, many organizations have another key role: that of visionary.

The visionary is usually the company's owner, co-owner, or founder. When there are co-founders or partners, one is often the visionary and the other the integrator.

They're opposites in many ways. **The integrator manages the business nuts and bolts: profit and loss, overall business objectives, and day-to-day operations.** The integrator is a good manager, who solves problems and holds people accountable. She tends to be practical and logical.

In contrast, **the visionary is a creative person, whose new ideas keep the company growing.** He solves big problems and is good at building outside relationships with banks, vendors, and key clients. The visionary is attuned to the company culture and morale.

The visionary and integrator have unique talents and complement each other when working within a structure that defines their roles and responsibilities. If a company has a visionary leader but lacks an integrator, the leader may struggle to gain traction and feel frustrated at having to get involved in day-to-day operations.

Defining Roles

The Accountability Chart identifies the key roles within each major business function or department. For example, the visionary function's roles might be: research and development (ideas), problem-solving, key relationships, selling, and culture.

Everyone on the chart who has direct reports is responsible for three things—leading, managing, and holding people accountable, which can be designated on the chart by the acronym LMA.

To fill out your Accountability Chart:

- Depict the major functions or departments as well as the sub-functions that report to them.
- List the key roles of each function.
- Once you've created the best structure for your company, put the right people in the right positions.

Your Accountability Chart should look like a typical organization chart, but with bullet points indicating roles. In total, it defines functions, roles, and the reporting structure. Your structure creates accountability. Meanwhile, your culture should be open and honest, encouraging communication across all organizational lines, so there are no silos.

The Leadership Team

The visionary, integrator, and people heading the major functions or departments comprise your leadership team. The next four chapters explain how the team should meet, prioritize, resolve issues, and execute the company's vision.

The Right Positions

Once you've created the right structure with lines of accountability, your ultimate goal is for people to be in positions where they're functioning at their highest level.

When considering someone for a position, use the GWC tool. Ask yourself whether they: 1) "get" it, 2) want it, and 3) are capable of doing it. No one can perform at their highest level without meeting all three criteria.

In fact, when you have a performance problem—when someone isn't meeting their job responsibilities—it's usually because they don't meet one of the criteria. As a result, you can't delegate responsibility to them because you can't trust them to do the job; you have to do part of it yourself and you're both frustrated.

Here's what the criteria mean:

- 1) G: Get it:** When someone "gets" or understands a job, they fully grasp the role and responsibilities, including the systems, deadlines, and the way the job relates to other positions and the company's mission.
- 2) W: Want it:** To do well in a job, the person also must have a strong desire and motivation to do it, as well as truly enjoy it. He doesn't need to be pushed or cajoled by a manager to do what's required.
- 3) C: Are Capable of doing it:** Being capable means having the intellectual, physical, and emotional capacity to do the job. A position may require more than 40 hours a week, which not everyone will want to commit to, or it requires certain experience, knowledge, or interpersonal skills.

In applying the GWC test, you may find that one or more members of your leadership team are in the wrong position, and you'll need to make leadership changes to achieve your vision. Here are some additional personnel considerations:

- **One Person, two jobs:** One person can sometimes do more than one job; this is fine as long as they have the time and capability. In startups, the owner/founder starts out filling nearly every seat. But as the company grows, the jobs grow and you need additional people.
- **Delegate:** As your company grows, you and your leadership team will have to delegate, so you can perform at your highest level—working on building your company for the future rather than focusing on daily nuts and bolts. If you're working at 120% of capacity, you need to delegate the extra 20% so you can devote your full ability to being the leader. If you don't delegate, you're underperforming as a leader and holding your company back.
- **Expect your Accountability Chart to evolve:** The Accountability Chart is a tool to structure and track your company's growth. It will continue to evolve. If your company is growing at 20% a year, you'll probably need to change your organization chart every quarter.

Terminations

As you develop your Accountability Chart, you'll discover people who aren't a good fit for your company. Don't immediately start firing people—proceed step by step to avoid creating a lot of vacancies at one time and endangering the company.

However, don't ignore problems—hoping they'll resolve themselves or sending people to training that isn't going to help is like overwatering a plant when what it needs is pruning.

Also, don't be tempted to procrastinate to avoid the discomfort of a termination. **It will only be painful for about 36 hours—the time leading up to and including the termination.** Things will improve significantly afterward. Employees who were picking up the slack or suffering because of someone's poor performance will be grateful that you acted. To avoid 36 hours of pain, some managers and their teams end up suffering much longer.

Exercise: Manage People Effectively

To operate effectively, your business needs a structure that clearly defines functions and roles and establishes lines of accountability. Then people must be put in positions that match their capabilities.

In your organization, what function or functions are you performing (integrator, visionary, or both)? Are you performing any roles better suited to a department head?

What are the key roles of each department head in your company (for example, customer retention or quality control)? How can you clarify any roles that are overlapping or confusing?

Who is your most difficult employee? Assess the employee using the GCW test (do they “get” their job, want it, and have the capability to do it well)? What should the next step be if they fail to meet one of the criteria?

Chapter 5: The Data Component

The third component of the EOS™ is data. Many entrepreneurs are like pilots flying blind with no data to help them determine where they are or where they're heading. They may talk to a few people and gather subjective opinions about the health of the company, but opinions and instincts aren't enough to make good decisions.

Instead, **a handful of key numbers comprising a weekly "Scorecard" will let you check the vital signs of your business weekly**, spot problems and trends, and make course corrections before problems become crises. The Scorecard will enable you to let go of control while remaining connected.

The Scorecard

The Scorecard immediately tells you how your business is doing. Most companies rely instead on a P&L (profit and loss) statement, but by the time you get it (monthly or quarterly), problems have already occurred. With the Scorecard, you can see where you are and, if necessary, change where you're headed.

For example, as mayor of New York City, Rudy Giuliani used a type of scorecard to more quickly address and even prevent crime. The tool, called CompStat, allowed police to report crime numbers immediately so precinct commanders could spot trends and deploy more officers to problem areas.

Here are the steps for creating a Scorecard for your business:

Step 1: Brainstorm with your leadership team about what numbers tell you the most about how your business is doing on a weekly basis—for instance, revenue, sales activity, customer complaints, accounts receivable, and production output.

You should end up with about a dozen numbers. Create a template or spreadsheet with the categories listed in the far left column, followed by a goal column and columns for entering numbers below dates running across the top. It should be designed so you can see 13 weeks of numbers at once.

Step 2: With each category, also list who is accountable for the number—only one person, usually the department head, should be accountable for each. This person provides their weekly number to whoever is in charge of updating the spreadsheet.

Step 3: Decide on a weekly goal for each category (for instance, a sales goal) and fill it in. The goals should align with your one-year plan.

Step 4: Determine who will update the spreadsheet each week for senior leaders to review at a regular meeting. Determine how the person will get the numbers from each leadership team member.

Step 5: Review the Scorecard with your leadership team every week to monitor how the business is doing and take any steps necessary to stay on track to reach your goals.

Three Caveats

1) The Scorecard numbers should be activity-based and traceable to an originating step.

For example, new revenue and sales are activity-based numbers, but if you track them only as they come in, you can't react to sales slumps in time to make a difference. Instead, trace the sales process backward to find more actionable numbers. By tracking the number of new leads received each week, you can see how

many leads typically translate into sales, and therefore predict how many leads you need to develop today to hit a sales target in the future.

2) While the Scorecard can help you to spot potential problems, **you still need to look at monthly and quarterly financial and budget statements** to get a full picture of the company's finances.

3) When a number doesn't hit or exceed the goal for a week, mark that number in red in the Scorecard so it stands out and creates a sense of urgency at your weekly meeting.

Your Scorecard will evolve—it will take about three months to get it the point where it's fully useful.

Give Everyone a Number

After creating a Scorecard, the next step in using data effectively is to **give every employee a single, meaningful number they're responsible for meeting**. When everyone has a number to meet, you can track high-level numbers down to an individual.

The benefits of making everyone accountable for a number include:

1) Numbers are concrete and objective. When a manager asks an employee how sales went last week, she gets a number instead of a vague comment like, "Things seem to be picking up."

2) Numbers create accountability. When you set a number, an employee is clear on what's expected. For example, keeping the number of accounts receivable under 40 is a specific expectation, while being responsible for collections is general.

3) Numbers boost production. You can create competition by presenting a target number to your teams. For example, in one of Charles Schwab's steelmaking plants, crews competed daily to produce the most batches of refined steel. Each crew leaving for the day chalked their number on the floor and the next shift tried to beat it. Overall production increased.

4) Numbers lead to results. For instance, if you set a goal of zero unresolved customer issues, by achieving this goal, you'll boost customer retention—a positive result.

5) Numbers create teamwork. When a team has a number to hit, they work together to make it happen, even calling out team members who aren't doing their part.

To help you find numbers for every employee, review your Accountability Chart. Many of the listed roles can be assigned a number. For instance, the following project manager roles are measurable: complete projects on time, achieve the margin goal on each job, meet quarterly standards.

Exercise: What Are Your Key Numbers?

Reviewing a handful of key numbers or vital signs weekly can tell you how your business is doing—for instance, revenue, sales activity, customer complaints, or production output. They give you a chance to avert problems and help you stay on track to meet your goals.

What numbers do you review regularly to see how your business is performing? How often do you receive

and review these numbers?

Who in your organization is accountable for each number? What is each person's goal?

How can you use the numbers to avert problems or make course corrections?

What is an important goal that isn't represented by the key numbers? What numbers can you monitor to track progress?

Chapter 6: Resolving Issues

The fourth component of the EOS™ is issues. Many leadership teams talk endlessly about problems without solving them. But unresolved issues or problems drain your company's energy.

The Entrepreneurial Operating System provides tools to help your leadership team uncover problems, drill down to the cause, discuss solutions, and take action. The tools for tackling issues are an issues list and an "Issues Solving Track" (a three-step process).

The Issues List

The issues list is a tool for getting issues on the table and in one place where they can be dealt with.

Organizations should keep three types of issues lists:

1) A quarterly meeting issues list: This is where you list non-urgent company issues that can be addressed in future quarterly leadership meetings. They're not immediate priorities for this week or this quarter, but you need to note them so they won't be forgotten. Examples include: new product ideas, HR issues, and capital needs.

2) A weekly meeting issues list: These issues are tackled at weekly leadership meetings.

They're strategic, non-departmental issues that need to be addressed this week or this quarter at the leadership level. Examples are: priorities being off track, a missed Scorecard goal, client issues, and process-related issues.

3) A departmental issues list: This list contains immediate departmental issues that must be handled at a weekly departmental meeting. For instance, sales department issues might include: not hitting call numbers, planning sales presentations, and closing sales. Operations department issues might include: production numbers and customer complaints.

With an open, problem-solving culture and these three issue lists, issues will surface regularly.

Once you've identified and listed them, the tool for resolving them is the "Issues Solving Track."

The 'Issues Solving Track' (IDS)

The "Issues Solving Track" has three simple steps (the acronym is IDS):

1. Identify
2. Discuss
3. Solve

First, look at your list and pick the top three (most important) issues to be solved. When you work through issues in order of priority, some issues will disappear because they were really symptoms of a key issue you addressed. Discuss each of your top three issues using the three-step process:

1) I: Identify

First, drill down to the real issue or source of trouble. Probing for the underlying issue can be

uncomfortable because problems usually involve people. But it's important to be honest for the good of the company.

This step may take longer than the other steps. You may spend most of your time identifying the problem, and need only a few minutes to discuss and solve it.

There are generally three kinds of issues:

- A problem to be solved
- Information to be communicated to the team and agreed on
- An idea someone wants feedback on

The person raising an issue should indicate the response needed—for example, she might say, “I just want to make sure everyone understands and agrees with the new maintenance contract.” This speeds up the process.

2) D: Discuss

The discussion step is where everyone gets a chance to weigh in. Many teams flounder on this step because they didn't identify the real issue first. They talk a lot without solving anything.

However, once the team has identified the issue, there may be little need for discussion because the solution is clear. In that case, don't be afraid to suggest a solution. This will either save time or it will prompt valuable discussion as people jump in to make additional points before it's too late.

Avoiding Tangents

Discussions often drag on too long because they keep going off on tangents. **One way to deter tangents is for team members to call out “Tangent alert” when the discussion starts going off track.** If a tangent raises a real issue, however, add it to the list and refocus on the topic at hand.

3) S: Solve

In this step you determine a solution or conclusion, with an action for someone to take. Add the action item to a to-do list, and when it's carried out, you're done with the issue.

You should decide issues in ways that move you closer to achieving your vision. Thus, you can't start solving issues until you've established your vision or you won't make the right decisions. It would be like driving a car without knowing where you're going—you won't have a rationale for deciding where to make turns.

Tips for Solving Issues

1) When team members disagree on a solution, the integrator should make a decision and the team should get behind it. When views are split, the majority is often wrong. Also, as author Jim Collins pointed out in a *Fortune* magazine article, **the most important decisions usually aren't unanimous.**

2) Get first-hand information. When an issue involves multiple people, you need to hear from all of them. Get everyone together to talk about it at the same time.

3) Act in the company's best interests, not out of self-interest or for political reasons. Keep your eye on the company's goals when making decisions.

4) You have three options for handling every problem: put up with it, end it, or change it. Putting up with it should be a last resort—you want to end it instead.

5) Face your fears and act. **The issue you're most afraid of is the one you need to tackle first.**

Solution Statement

At the conclusion of the three steps (Identify, Discuss, Solve), a team member needs to verbally summarize what's been decided and the next steps. For example: "Nicole will meet with John and discuss the warehouse issue. She'll offer him a transfer to another position, and if he doesn't take it, we'll terminate him."

Addressing Personnel Issues

When two people don't get along, have a third party facilitate a solutions meeting with them. At the meeting:

- Have each person share what he believes are the other's three biggest strengths and weaknesses.
- Identify the issues and solve them.
- List the steps to be taken for implementing the solution.
- Meet again in a month to ensure the steps were taken.

If this process doesn't resolve the problem, you may have to let one of the individuals go or move him to another position.

Exercise: Improve Your Problem-Solving

Unresolved issues or problems drain your company's energy. Systematically identifying and solving problems using the IDS system (Identify, Discuss, Solve) keeps problems from escalating and keeps you on track to meet your goals.

Which step of the IDS process (Identify, Discuss, Solve) needs the most improvement in your company? How can you improve this step?

Are your employees comfortable raising problems? Why or why not? How do you know?

Start an issues list for your department or for the company. What are the three most important issues on your list?

Chapter 7: Documenting Processes

The fifth component of the EOS™ is process. **Your company has a few key processes that keep it running—together, they constitute your unique “way” of doing business.**

Many entrepreneurs neglect this component and allow their way of doing business to develop haphazardly; people do their jobs in whatever way they see fit. This creates inconsistencies and inefficiencies as well as never-ending headaches for you, as the owner.

In contrast, **honing your processes so they run without constant oversight frees you to focus on building your business rather than being mired in its details.** Also, when you have a defined way of doing business, you make your company more scalable and valuable in the event you decide to grow or sell it.

There are three steps to systematize your business:

1. Identify your key processes.
2. Document each process.
3. Ensure that everyone follows the processes.

1) Identify Key Processes

Your leadership team needs to identify the processes for carrying out every major activity of your business. List the processes on a single sheet of paper and agree on what you will call each one, so there won't be confusion over what anyone is talking about.

Most businesses have processes to handle the following:

- Human relations
- Marketing
- Sales
- Operations: This breaks down into subprocesses—for instance, warehouse, distribution, customer service, and production.
- Accounting
- Customer service and retention

2) Document Each Process

The person accountable for each process should document it. Don't list every detail, just the most important steps, with a few bullet points for procedures under each. Follow the 80/20 rule: document the 20% of the process that produces 80% of the results.

Here's an example of documenting an HR process. (Each step should have bullet points, but in this example, bullet points are included only for the first step.)

The HR process

- Step 1: Search
 - Create job description
 - Determine search method
 - Conduct search

- Step 2: Interviewing
- Step 3: Hiring
- Step 4: Orientation
- Step 5: Performance reviews
- Step 6: Termination
- Step 7: Ongoing benefits management

The documentation for each process should be up to 10 pages. Your goal is to keep your processes simple. As you document steps, you may find redundant or unnecessary steps that you can eliminate. For some processes, a checklist may suffice.

While codifying your processes, you may find areas where new software can increase efficiency. But do your research so you get the right technology and don't waste your money on bells and whistles you don't need.

3) Ensure Everyone Follows the Processes

Compile all of your documentation into a manual, whether printed or digital. Each process should be a chapter. The title should be "The (your company name) Way." Train employees in the processes you need them to use.

As the company's leader, make clear your expectation that everyone, including your leadership team, will follow the processes. Also, show how the new system coordinates everything to make individual jobs easier and the company more successful.

It may help to create a visual of your "way" that illustrates how all of the processes work together.

The benefits of having documented processes include:

- When everyone follows the same processes, it's easier for managers to identify and solve problems. Many problems stem from a process breakdown—for example, a customer isn't billed because a service rep didn't forward the order to the finance department. You can track the problem to the step that failed and fix it.
- It positions you to grow the business: with effective processes, you can easily scale up, or increase customers, revenue, and employees.

Exercise: Document Your Processes

Your business has a few key processes that keep it functioning. Identifying, documenting, and ensuring that everyone follows your key processes consistently makes your business more efficient and scalable.

Think of a process in your company or department that different people handle differently. What problems have resulted from the inconsistency?

What is a key business process that you're involved with? Document it by listing the most important steps.

Next, list the procedures for each step as bullet points.

Streamline the process by removing any redundant or unnecessary steps. What steps could you take to share and ensure others follow the process?

Chapter 8: Getting Traction

With five key business components (vision, people, data, issues, and process) in place, you're ready to create organizational traction and move forward. **Getting traction means executing, or making your vision a reality.** To create traction, set 90-day priorities and establish a meeting structure.

1) Priorities ('Rocks')

Short-term priorities move you in the direction of your vision. The company, leadership team, and employees all should have three to seven quarterly priorities aligned with your vision. When you focus everyone in the same direction, you collectively gain traction.

This book refers to priorities as "Rocks," based on an analogy in Stephen Covey's book, *First Things First*, involving a cylinder (container) and rocks, gravel, sand, and water.

The cylinder represents the amount of time in your work day. The rocks are your priorities, gravel represents day-to-day responsibilities, sand represents interruptions, and water is everything else that comes up during your day.

If you put gravel, sand, and water into the cylinder first, the rocks won't fit—that is, when you spend your time on day-to-day details, interruptions, and trivia, there won't be time to address priorities. But when you put the rocks into the cylinder first, followed by gravel, sand, and water, everything fits.

The point is that you need to work on priorities first and everything else will fall into place. (Shortform note: for more information about setting priorities, [read our summary of First Things First by Stephen R. Covey here.](#))

Establishing Priorities

Leaders should meet quarterly to review your vision and set priorities for the company and leadership team for the next 90 days. Here are the steps to follow:

Step 1: After reviewing the vision, list things that must be accomplished in the next 90 days to move toward your vision.

Step 2: Narrow the list to three to seven priorities.

Step 3: Set the due date for meeting each priority (usually it's the last day of the quarter). Define each priority so that it's specific, measurable, and doable. For example, a priority might be: "close three major sales."

Step 4: Assign an "owner" from the leadership team to each priority. This person will be accountable for achieving it, by creating a timeline, assigning tasks, and ensuring people complete them.

Step 5: After the company priorities are set, each leadership team member should set their own priorities, including the company priority they "own." Some items on the brainstorming list that were dropped in step 2 could become individual priorities.

Step 6: Put the company's and leadership team's priorities on a spreadsheet or one-page document and review it each week at the leadership team meeting.

Step 7: Share these priorities with the entire company at the quarterly company status meeting.

Step 8: Have each department establish up to three priorities. Further, each employee in the department should choose up to three individual priorities.

Tips for Establishing Priorities

- Make sure you take enough time to set the right priorities—those that move you toward your vision rather than sidetracking you.
- It takes two quarters to get the priority-setting process working effectively. Start with just the company and leadership setting priorities for the first two quarters, then have the rest of the company do it (so you learn from mistakes before fully rolling out the process).
- Make sure you're fully committed to the process; **don't announce priorities to employees and then forget them or you'll lose credibility.**

2) Meetings

It's a myth that meetings are a waste of time—meetings are where you practice accountability and get traction.

But they need to be productive. By following a structured meeting schedule with purposeful agendas, you'll find that everyone will get more done and continuously advance the company's vision.

You should have two types of leadership meetings: quarterly and weekly.

The Quarterly Meeting

When you have annual, three-year, and 10-year goals, it's human nature for people to start wandering off track in about 90 days. To counter this, you need to focus on interim goals every 90 days—or you'll lose sight of your vision.

Your quarterly leadership meeting should be a full-day, off-site event with the following agenda:

- **Opening:** Each team member should share the following: good news from the last 90 days, what's working/not working, and expectations for the day.
- **Review the previous quarter:** Review the financials, then review the company and leadership team priorities to confirm which ones were achieved (you won't complete 100% every quarter; strive for 80% or better). If you missed hitting a priority, you can advance it to the next quarter, reassign it, or, if it's close to completion, just put it on a to-do list and finish it.
- **Review the vision** to ensure everyone has clarity so you can set the right 90-day goals. As part of this, update the issues list.
- **Set the next quarter's priorities:** Follow the steps for setting priorities described earlier in this chapter. List what must be done in the quarter and narrow the list to three to seven items.
- **Tackle key issues:** Determine your top three issues and go through the IDS (Identify, Discuss, Solve) process for each of the top three. Then begin moving down the list, solving as many issues as you can in the time available. Save the rest for your weekly leadership meeting.
- **Next steps:** Clarify who is doing what, and whether there's anything to communicate to the employees—for instance, any decisions made to solve problems.
- **Conclude:** Each team member should share: feedback on the meeting, whether their expectations were met, their rating of the meeting from one to 10. (A successful meeting should get at least an eight.)

Repeat this meeting every quarter—don't skip any quarters. Your quarterly meetings will become increasingly productive.

At the end of the year add a second day to your quarterly meeting for annual planning, following this agenda.

Annual Planning Agenda — Day One

- **Opening:** Team members should share: the company's three greatest accomplishments, the individual's greatest personal accomplishments, and expectations for the meeting.
- **Review the previous year:** Review the financials, the previous year's goals, and the last quarter's priorities (just note whether each was done or not done).
- **Team building exercise:** "The One Thing": Have the team give each member feedback on her greatest strength and weakness. Then have each team member choose one thing to do differently.
- **SWOT/issues list:** Discuss the company's SWOTs (strengths, weaknesses, opportunities, and threats). From the discussion, create an issues list.
- **Challenge the vision:** Take a critical look at your core values, core focus, marketing strategy, and 10-year target. Make sure everyone is still on board with it. Create a new three-year plan, then your one-year plan for next year (including revenue, profit, up to seven priorities, and budget).

Annual Planning Agenda — Day Two

- Establish your priorities for the next quarter
- Tackle issues
- Determine the next steps
- Conclude

The Weekly Meeting

Once you've set your quarterly priorities, you and your leadership team need to meet weekly to stay focused, address issues, and communicate.

The weekly meeting is like a drumbeat that keeps your leadership team marching forward in step. In terms of productivity, this meeting should be a "10"—most people rate their meetings as a 4 or 5 on a scale of 1 to 10.

A level 10 meeting will keep your Scorecard numbers and priorities or "Rocks" on track, and give you an opportunity to troubleshoot and solve problems. The following agenda will ensure a productive meeting.

The Weekly Meeting Agenda

- **Opening:** Spend five minutes sharing good news.
- **Scorecard:** Review the numbers compared to goals— any misses should be moved to the issue solving (IDS) part of the agenda
- **Review priorities:** Review the company's and team members' priorities to see which are on track; when a priority is off track, move it to the IDS agenda item.
- **Customer and employee news:** Cite positives and move issues to the IDS agenda item.
- **To-do list:** Review to-dos from last week's meeting—these are action items that pop up throughout the week—for example, a commitment to ship an item immediately. Indicate whether items have been done/not done. No item should be on the to-do list for more than two weeks; the vast majority should drop off each week. The list creates traction and accountability.
- **IDS:** Identify, discuss, and solve the issues on your issues list. There should be a few holdovers from last week, plus others added during the week, or a total of 10-15 issues. Go through them in order of

priority. Once an issue has been solved, an action usually should be added to the to-do list. Next week, confirm it was carried out.

- **Conclude:** Recap your to-do list and the assigned actions; determine whether anything from the meeting needs to be communicated to employees (what and how); have everyone rate the meeting on a scale of 1-10.

Tips

- Have the weekly meeting at the same day and time each week, follow the same agenda, and start and end on time. Assign someone to run the meeting and someone to maintain the agenda.
- Once the leadership team has the process down, apply the same format to weekly meetings in each department.

Exercise: Make Meetings Productive

Meetings are an opportunity to get traction and hold people accountable. But to be productive, they follow a schedule and have a consistent purpose and agenda.

What meetings do your senior leaders and department heads hold weekly and monthly? How do you feel after a typical meeting (for instance, energized, exhausted, clear on direction)?

On a productivity scale of 1-10, how would you rate most of your meetings? Why did you rate them as you did?

How could you make your company's regular meetings more productive? Create an agenda for your next meeting using the suggested "weekly meeting agenda" as a model.

Chapters 9-10: Implementing the EOS™

The combination of vision, people, data, issues, process, and traction—the Entrepreneurial Operating System—positions your company to achieve your vision.

This book presented one component at a time in order to make the EOS™ model easy to understand and learn, but that isn't the most effective way to implement it in a business. Based on the author's experience with hundreds of companies, the following sequence is recommended.

Implementation Sequence

Implement these seven tools with your leadership team first, in order, before sharing them with other managers and employees.

1) Accountability Chart (along with the People Analyzer and GWC): Create your Accountability Chart first because it goes to the root of most issues. Determine the right structure, then put the right people in the right positions. With this tool in place, the other tools are more effective.

2) Priorities: Once you know who is accountable for what, you'll set better priorities.

3) Meeting schedule (including the IDS process, and quarterly and annual meetings): Implement the weekly meeting first. This requires you to choose what's most important every week and start solving the key problems, using the IDS tool, to gain immediate traction. Start your quarterly and annual meetings based on where you are in your calendar year.

4) Scorecard: This takes one to three months to develop and further creates accountability, ownership, and results.

5) Vision statement (including core values, core focus, 10-year goal, marketing strategy, three-year goal, and one-year goal): The first four tools above create a foundation on which to build your vision rather than pie in the sky. After you've established accountability and traction, creating a vision is easier and the result will be more meaningful. Anyway, most organizations have a fair idea of where they're going already.

6) Core processes: After the foundational tools are fully implemented, the next step is to document and train people in your core processes using the three steps.

7) Everyone has a number: This is last because without the main tools in place, it's less effective due to lack of accountability and strong management. However, with the foundation in place, adding a number for everyone increases results.

Once you and your leadership team have mastered the tools, roll them out to the rest of the company, one level at a time. Start with the middle managers who report to the leadership team and present these tools:

- The vision statement (including core values, focus, marketing strategy, and 10-year target)
- Accountability Chart
- Priorities or "Rocks"
- The structured meeting schedule
- The Scorecard

If you have multiple locations, site managers need to be fully on board with the foundational tools before

sharing them with the next tier at that location.

Roll-Out Tips

- Be patient, it will take time for the system to “click” with a majority of employees.
- Once you start to gain traction, at some point you’ll hit the ceiling again. Stick with the tools and five leadership abilities, hone them and press on.
- Decide how big your company should get, rather than aiming for growth for growth’s sake
- Meet once a month to ensure partners are still on the same page with where the company is going.
- Do an organization checkup twice a year to see where you are in implementing the EOS™. The goal is to continually make progress. When you find gaps between where you are and want to go, add them to your issues list for solving; some may become quarterly priorities.